BLUEGRASS CAPITAL RESEARCH

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Technology | AI - Semiconductors
10/31/25

Credo Technology Group

Establishing Credo-bility

Credo's leadership in high-speed connectivity positions it to capitalize on the rapid expansion of AI and data center infrastructure. While we see strong long-term potential, recent price surges fueled by AI enthusiasm and institutional optimism have driven valuations to record highs. We prefer to see continued proof of fundamentals before shifting to a bull stance. **We rate $CRDO as a HOLD with a price target of $169.**

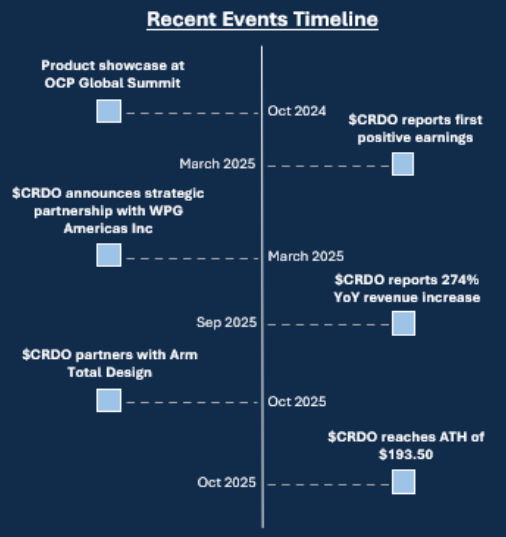
Thesis Point 1: As AI, machine learning, and data infrastructure markets rapidly expand, connectivity products face bottlenecks in speed, power, and cost efficiency. Credo addresses this gap with high-bandwidth, scalable, and energy-efficient connectivity solutions that ensure end-to-end signal integrity at lower costs. Its best-in-class technology and comprehensive product suite that includes everything from ICs and AECs to SerDes chiplets enable customers to meet all connectivity needs through a single partner. After turning its first profit in Q4 FY2025, Credo's momentum continues, with Q1 FY2026 revenue up 31% sequentially and 274% year-over-year. With annual revenue on track to exceed $1 billion, Credo is poised to rival leading competitors in both innovation and scale.

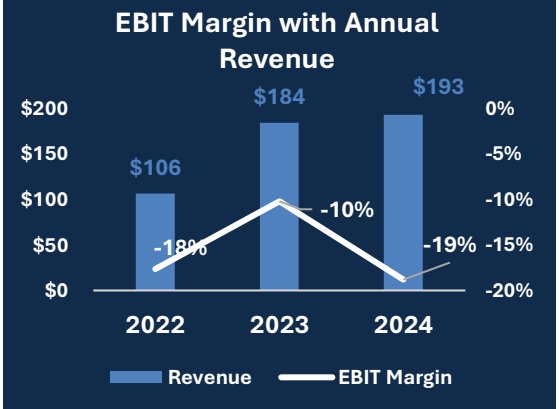
Thesis Point 2: While customer concentration has long been a key risk for Credo, recent diversification trends are turning that risk into a growth driver. In FY2025, the top 10 customers made up 90% of revenue, with one accounting for 67%. By Q1 FY2026, that concentration had balanced significantly, with the top three customers represent 35%, 33%, and 20% of revenue. Credo expects all three to grow meaningfully year-over-year, with a fourth surpassing 10% of total revenue. Major hyperscaler customers include Nvidia, AMD, Microsoft, Meta, Amazon, and xAI. As dependence on individual clients declines and expansion into adjacent markets continues, Credo is better positioned for stable earnings and accelerated growth in the evolving AI and cloud networking landscape.

Company Overview: Credo Technology designs, markets, and sells hardware, software, and IP solutions that power next-generation AI, cloud computing, and hyperscale networks. Founded in 2008 and publicly listed on NASDAQ in 2022, the company has expanded globally with offices across North America and Asia. Credo provides both standard and customized connectivity solutions, often generating recurring revenue from long-term product integrations that carry high switching costs. Its innovative architecture enables leading-edge performance at significantly lower cost, creating a strong competitive moat through a full suite of high-performance connectivity products.

TICKER:	$CRDO
RATING:	HOLD
PRICE:	$187.62
PRICE TARGET:	$169
MARKET CAP:	$32.46bn
52-W RANGE:	$29.09 - $193.50
P/E:	260.58x
IMPLIED DOWNSIDE:	(10.08)%







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Risk 1: Credo's revenue remains highly concentrated, with its top ten customers representing about 90% of fiscal 2025 sales. This dependence increases exposure to hyperscaler spending shifts and macro uncertainty. Any slowdown in customer capital expenditures could pressure growth and earnings, making diversification key to reducing concentration risk.

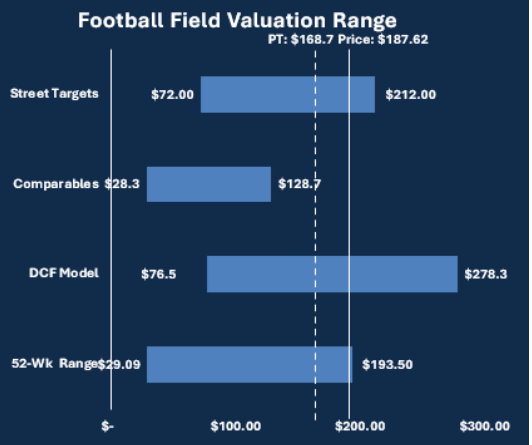
Risk 2: Credo competes in a highly competitive segment of the semiconductor industry, facing major players like Broadcom and Marvell with deep R&D resources and established customer ties. While Credo's innovation and early market leadership are strengths, delays in product development or technological advances by competitors could erode its market position and limit future design wins.

Upside Catalyst: Credo is well positioned to benefit from rising hyperscaler investments in AI data-center infrastructure. Easing macro conditions and lower interest rates could further drive demand for its high-speed connectivity solutions, including SerDes and Active Electrical Cables. With strong hyperscaler relationships and partnerships like its collaboration with Arm, Credo is expanding its reach, improving design flexibility, and strengthening customer engagement across the AI and cloud ecosystem.

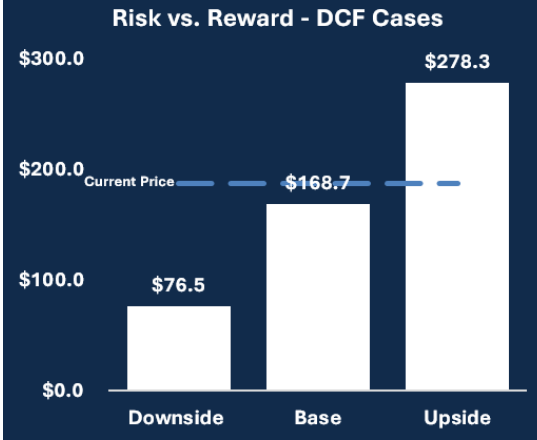
Valuation

DCF Analysis ($mm)	FY2025 12/31/2025	FY2026 12/31/2026	FY2027 12/31/2027	FY2028 12/31/2028	FY2029 12/31/2029	FY2030 12/31/2030	FY2031 12/31/2031	FY2032 12/31/2032	FY2033 12/31/2033	FY2034 12/31/2034	FY2035 12/31/2035
Revenue	437	1,005	1,396	1,843	2,363	2,941	3,548	4,146	4,688	5,123	5,405
Revenue Growth	*126%*	*130%*	*39%*	*32%*	*28%*	*24%*	*21%*	*17%*	*13%*	*9%*	*5%*
Semiconductors	437	1,005	1,396	1,843	2,363	2,941	3,548	4,146	4,688	5,123	5,405
EBIT	38	418	602	822	1,089	1,399	1,740	2,095	2,439	2,742	2,973
EBIT Margin	*9%*	*42%*	*43%*	*45%*	*46%*	*48%*	*49%*	*51%*	*52%*	*54%*	*55%*
Tax Expense	3	20	40	70	112	169	241	328	425	527	624
Effective Tax Rate	*7%*	*5%*	*7%*	*8%*	*10%*	*12%*	*14%*	*16%*	*17%*	*19%*	*21%*
NOPAT	35.30	397.64	561.70	752.31	977.24	1,230.17	1,499.37	1,767.74	2,013.98	2,214.84	2,348.39
D&A	22	50	67	86	106	127	148	166	180	188	189
Capex	36	83	106	127	146	161	170	169	159	138	108
Changes in NWC	99	229	287	338	382	411	418	397	346	266	162
UFCF	(78)	136	237	373	556	786	1,060	1,367	1,688	1,998	2,267
PV of FCF	(77)	124	187	257	332	408	478	535	575	591	582

Terminal Value	
Exit Multiple Method	
2034 EBIT	$2,973
EV/EBIT Exit Multiple	33.0x
Terminal Value	$98,098
PV of Terminal Value	$25,199
PV of Projection Period	$3,991
PV of Terminal Value	$25,199
Implied TEV	$29,189
(-) Debt	$128
(+) Cash	$123
Implied Equity Value	$29,185
Diluted Shares Outstanding	173
Implied Share Price	$168.70
Upside/Downside	-10.1%



Our base-case DCF assumes a 33.0x EV/EBIT exit multiple, a 32% revenue CAGR through FY2035, and EBIT margins stabilizing near 55%. EBIT has risen from negative to over $100 million in two years, so the 33.0x multiple reflects a normalization from the current 230x, supported by improving fundamentals and peer alignment. Revenue growth moderates from a 126% FY2025 increase to a steady 5.5% by FY2035, while EBIT margins expand from –18.8% in FY2024 to 41.6% in FY2026 as Credo deepens its AI hyperscaler integration. We expect growth to normalize by 2035; see the appendix for downside and upside DCF cases.



Conclusion

We rate Credo Technology (CRDO) as a HOLD following recent price surges and still-developing fundamentals. The company continues to show strong growth and diversification, driven by its leadership in high-speed connectivity and relationships with major hyperscalers. However, AI-driven market enthusiasm has pushed valuations beyond what we view as a justified entry point. We will monitor upcoming earnings to reassess our valuation and potential re-entry opportunities.

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Income Statement ($mm)	2024A	2025E	2026E	2027E	2028E	CAGR%
Revenue	193	437	1,005	1,396	1,843	112.2%
EBITDA	(36)	60	468	669	908	-392.5%
EBIT	(36)	38	418	602	822	-382.9%
NOPAT	(42)	35	398	562	752	-361.8%

Margin & Growth Data	2024A	2025E	2026E	2027E	2028E	AVG%
EBITDA Margin	-18.8%	13.7%	46.6%	47.9%	49.3%	27.7%
EBIT Margin	-18.8%	8.7%	41.6%	43.1%	44.6%	23.8%
Revenue Growth	4.8%	126.4%	130.0%	39.0%	32.0%	66.4%
EBIT Growth	93.1%	-204.7%	1000.3%	44.0%	36.6%	193.9%

Valuation Metrics	2024A	2025E	2026E	2027E	2028E	AVG%
P/FCF	-1434.6x	-414.5x	238.1x	137.2x	87.0x	-277.4x
EV/Sales	168.2x	74.3x	32.3x	23.2x	17.6x	63.1x
EV/EBITDA	-894.3x	541.9x	69.3x	48.5x	35.8x	-39.8x
FCF Yield	-0.1%	-0.2%	0.4%	0.7%	1.2%	0.4%

Comparable Companies

$mm

Ticker	Mkt Cap	EV	P/E LTM	Revenue LTM	EBITDA LTM
Astera Labs, Inc. (NasdaqGS:ALAB)	$26,839	$25,806	0.6x	$606	$47
Rambus Inc. (NasdaqGS:RMBS)	$10,460	$9,893	2.1x	$646	$275
Parade Technologies, Ltd. (TPEX:4966)	$1,938	$1,644	1.2x	$548	$112
Allegro MicroSystems, Inc. (NasdaqGS:ALGM)	$5,344	$5,552	-0.4x	$762	$59
Credo Technology	$22,733	$22,269	0.7x	$600	$136

Ticker	LTM EV/EBITDA	Gross Margin	EBITDA Margin	EBIT Margin	1 Yr Rev Growth Rate LF
Astera Labs, Inc. (NasdaqGS:ALAB)	553.8x	75.5%	7.7%	7.0%	163.8%
Rambus Inc. (NasdaqGS:RMBS)	36.0x	81.6%	42.6%	36.3%	35.2%
Parade Technologies, Ltd. (TPEX:4966)	14.7x	42.6%	20.3%	16.6%	10.1%
Allegro MicroSystems, Inc. (NasdaqGS:ALGM)	94.4x	44.6%	7.7%	(0.7%)	(18.8%)
Credo Technology	163.3x	66.0%	22.7%	18.9%	175.8%
High	553.77x	81.6%	42.6%	36.3%	175.8%
75th Percentile	163.26x	75.5%	22.7%	18.9%	163.8%
Average	172.43x	62.1%	20.2%	15.6%	73.2%
Median	94.41x	66.0%	20.3%	16.6%	35.2%
25th Percentile	35.96x	44.6%	7.7%	7.0%	10.1%
Low	14.74x	42.6%	7.7%	-0.7%	-18.8%

General Dynamics Valuation		
Implied Enterprise Value (25th Percentile)	$	4,905
Implied Enterprise Value (Median)	**$**	**12,878**
Implied Enterprise Value (75th Percentile)	$	22,269
Implied Share Price (25th Percentile)	$	28.33
Implied Share Price (Median)	**$**	**74.42**
Implied Share Price (75th Percentile)	$	128.70

Weighted Average Cost of Capital ($mm)	
Market Risk Premium	4.33%
Beta	2.60
Risk Free Rate	4.04%
Cost of Equity	15.00%
Weighted Average Cost of Debt	5.00%
Tax Rate	4.90%
Cost of Debt	0.10%
Total Equity	$32,457
Total Debt	$5
Equity/Total Capitalization	98.00%
Debt/Total Capitalization	2.00%
WACC	15.10%

Downside Case: Our $77 downside price target assumes a 30.0x EV/EBIT multiple and significantly slower sales growth, reflecting potential risks such as reduced hyperscaler spending, increased competition, or operational underperformance.

Upside Case: Our $278 price target assumes a 35.0x EV/EBIT multiple and sales reaching nearly $8 billion by 2035, driven by ongoing growth in the AI industry and Credo's leadership in high-speed connectivity solutions.

Disclosures and Ratings: Bluegrass Capital Research does not hold any professional relationships with the securities mentioned in this report. Our ratings are defined as follows: **Buy** (expected to outperform the market), **Hold** (expected to perform in line with the market), and **Sell** (expected to underperform the market), typically over a 12-month horizon. This report is for educational and informational purposes only and should not be considered as financial advice.